CLOSING STATEMENT

Heritage Scholars Hall | Columbus, OH

Property	Heritage Scholars Hall
Settlement Date	March 30, 2023
Buyer	Anchorage Meadow Partners
Seller	Ardent Hollow Holdings
Sale Price	$15,400,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$15,400,000			
Earnest money deposit		$127,822	$127,822	
Real estate tax proration	$144,283			$144,283
Rent proration			$114,426	
Security deposits assumed	$31,446	$31,446		
Prepaid rents			$89,045	$89,045
Owner's title policy premium	$91,146			
Lender's title policy premium		$89,578	$89,578	
Escrow fee	$13,456			$13,456
Recording fees			$13,101	
Transfer tax	$89,911	$89,911		
Survey			$82,624	$82,624
Legal fees - Buyer	$73,927			
Legal fees - Seller		$107,151	$107,151	
Broker commission	$40,180			$40,180
Loan origination fee			$123,288	
Lender legal	$25,018	$25,018		
Appraisal fee			$110,549	$110,549
Environmental report	$152,752			
Property condition report		$92,535	$92,535	
Tax escrow deposit	$7,529			$7,529
Insurance escrow deposit			$145,240	

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$15,400,000			
Legal fees - Seller		$11,314	$11,314	
Broker commission	$63,816			$63,816
Loan origination fee			$127,668	
Lender legal	$81,419	$81,419		
Appraisal fee			$128,573	$128,573
Environmental report	$49,078			
Property condition report		$100,724	$100,724	
Tax escrow deposit	$114,821			$114,821
Insurance escrow deposit			$69,346	
Replacement reserve deposit	$36,153	$36,153		
Utility deposits			$105,983	$105,983
Assumed vendor contracts credit	$145,518			
Tenant improvement credit		$89,165	$89,165	
Courier / wire fees	$34,583			$34,583
Municipal certificates			$74,963	
Purchase price	$133,231	$133,231		
Earnest money deposit			$79,119	$79,119
Real estate tax proration	$79,625			
Rent proration		$127,081	$127,081	
Security deposits assumed	$92,409			$92,409
Prepaid rents			$41,192	
Owner's title policy premium	$56,182	$56,182		
Lender's title policy premium			$7,271	$7,271
Escrow fee	$33,872			
Recording fees		$108,355	$108,355	
Transfer tax	$27,604			$27,604
Survey			$17,377	

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Operating Performance

Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Pre-leasing for the coming academic year stands at 96.3% with rental rates per bed averaging $1,299. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 94.3% with rental rates per bed averaging $1,299. The going-in capitalization rate of 5.94% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $228,000 or approximately 27.35 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Financial Analysis

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $318,000 or approximately 44.65 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $79,000, representing a 6.8% increase over the prior year. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 7.79% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $10,000 or approximately 31.76 per square foot, with real estate taxes representing the largest line item. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $278,000 or approximately 9.83 per square foot, with real estate taxes representing the largest line item. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 95.9% with rental rates per bed averaging $1,299.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$15,400,000			
Tenant improvement credit		$127,287	$127,287	
Courier / wire fees	$47,608			$47,608
Municipal certificates			$136,692	
Purchase price	$42,651	$42,651		
Earnest money deposit			$62,602	$62,602
Real estate tax proration	$33,935			
Rent proration		$147,767	$147,767	
Security deposits assumed	$87,390			$87,390
Prepaid rents			$34,297	
Owner's title policy premium	$136,207	$136,207		
Lender's title policy premium			$107,065	$107,065
Escrow fee	$11,773			
Recording fees		$132,089	$132,089	
Transfer tax	$14,398			$14,398
Survey			$9,580	
Legal fees - Buyer	$10,547	$10,547		
Legal fees - Seller			$58,854	$58,854
Broker commission	$137,679			
Loan origination fee		$113,480	$113,480	
Lender legal	$110,392			$110,392
Appraisal fee			$40,792	
Environmental report	$119,465	$119,465		
Property condition report			$63,656	$63,656
Tax escrow deposit	$56,022			
Insurance escrow deposit		$98,107	$98,107	
Replacement reserve deposit	$53,246			$53,246
Utility deposits			$89,514	

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Income and Expense Review

Effective gross income for the trailing period was $445,000, representing a 11.8% increase over the prior year. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.69% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $24,000, representing a 3.0% increase over the prior year. The going-in capitalization rate of 6.36% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 96.9% with rental rates per bed averaging $1,299. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period.

Income and Expense Review

Effective gross income for the trailing period was $473,000, representing a 8.9% increase over the prior year. Debt service coverage ratio was 6.21x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Operating expenses totaled $55,000 or approximately 38.09 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 96.2% with rental rates per bed averaging $1,299.

The going-in capitalization rate of 5.52% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 94.7% with rental rates per bed averaging $1,299. Effective gross income for the trailing period was $256,000, representing a 8.6% increase over the prior year. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Income and Expense Review

Pre-leasing for the coming academic year stands at 93.9% with rental rates per bed averaging $1,299. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. The going-in capitalization rate of 6.52% reflects the in-place income and the stabilized occupancy assumption. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. The going-in capitalization rate of 7.72% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.51x on a trailing basis against a covenant minimum of 1.20x. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Effective gross income for the trailing period was $47,000, representing a 2.4% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$15,400,000			
Recording fees		$37,290	$37,290	
Transfer tax	$152,691			$152,691
Survey			$90,923	
Legal fees - Buyer	$57,628	$57,628		
Legal fees - Seller			$66,368	$66,368
Broker commission	$56,064			
Loan origination fee		$104,458	$104,458	
Lender legal	$107,809			$107,809
Appraisal fee			$26,614	
Environmental report	$73,928	$73,928		
Property condition report			$23,240	$23,240
Tax escrow deposit	$96,620			
Insurance escrow deposit		$40,956	$40,956	
Replacement reserve deposit	$83,009			$83,009
Utility deposits			$35,146	
Assumed vendor contracts credit	$15,865	$15,865		
Tenant improvement credit			$128,684	$128,684
Courier / wire fees	$56,272			
Municipal certificates		$57,951	$57,951	
Purchase price	$4,358			$4,358
Earnest money deposit			$105,887	
Real estate tax proration	$138,596	$138,596		
Rent proration			$134,586	$134,586
Security deposits assumed	$50,120			
Prepaid rents		$19,589	$19,589	
Owner's title policy premium	$124,449			$124,449
Lender's title policy premium			$126,490	

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Operating Performance

The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 93.5% with rental rates per bed averaging $1,299. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 6.00% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $451,000, representing a 3.5% increase over the prior year. Operating expenses totaled $155,000 or approximately 16.86 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 91.7% with rental rates per bed averaging $1,299. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses.

Income and Expense Review

Effective gross income for the trailing period was $100,000, representing a 7.8% increase over the prior year. Pre-leasing for the coming academic year stands at 93.8% with rental rates per bed averaging $1,299. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Pre-leasing for the coming academic year stands at 94.2% with rental rates per bed averaging $1,299. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.43% reflects the in-place income and the stabilized occupancy assumption.

Operating Performance

The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 93.5% with rental rates per bed averaging $1,299. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The going-in capitalization rate of 6.64% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.63x on a trailing basis against a covenant minimum of 1.20x.

The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Debt service coverage ratio was 5.02x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $131,000, representing a 4.7% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$15,400,000			
Insurance escrow deposit		$36,226	$36,226	
Replacement reserve deposit	$114,233			$114,233
Utility deposits			$74,837	
Assumed vendor contracts credit	$58,319	$58,319		
Tenant improvement credit			$22,422	$22,422
Courier / wire fees	$44,345			
Municipal certificates		$23,775	$23,775	
Purchase price	$7,153			$7,153
Earnest money deposit			$105,435	
Real estate tax proration	$100,506	$100,506		
Rent proration			$114,861	$114,861
Security deposits assumed	$113,119			
Prepaid rents		$20,842	$20,842	
Owner's title policy premium	$58,301			$58,301
Lender's title policy premium			$111,624	
Escrow fee	$39,246	$39,246		
Recording fees			$18,292	$18,292
Transfer tax	$66,954			
Survey		$153,768	$153,768	
Legal fees - Buyer	$71,056			$71,056
Legal fees - Seller			$75,020	
Broker commission	$135,447	$135,447		
Loan origination fee			$102,043	$102,043
Lender legal	$114,764			
Appraisal fee		$92,070	$92,070	
Environmental report	$118,173			$118,173
Property condition report			$39,633	

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Financial Analysis

The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $270,000 or approximately 18.36 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.07% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.60x on a trailing basis against a covenant minimum of 1.20x.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Debt service coverage ratio was 5.87x on a trailing basis against a covenant minimum of 1.20x. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Operating expenses totaled $409,000 or approximately 46.87 per square foot, with real estate taxes representing the largest line item.

Income and Expense Review

Effective gross income for the trailing period was $58,000, representing a 12.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. Debt service coverage ratio was 7.39x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Effective gross income for the trailing period was $440,000, representing a 4.0% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period.

Operating Performance

Effective gross income for the trailing period was $467,000, representing a 3.3% increase over the prior year. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The going-in capitalization rate of 8.13% reflects the in-place income and the stabilized occupancy assumption. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Effective gross income for the trailing period was $375,000, representing a 12.5% increase over the prior year. Pre-leasing for the coming academic year stands at 92.2% with rental rates per bed averaging $1,299. The going-in capitalization rate of 7.28% reflects the in-place income and the stabilized occupancy assumption. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $108,000 or approximately 31.16 per square foot, with real estate taxes representing the largest line item.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$15,400,000			
Prepaid rents		$121,011	$121,011	
Owner's title policy premium	$27,898			$27,898
Lender's title policy premium			$110,084	
Escrow fee	$79,376	$79,376		
Recording fees			$117,899	$117,899
Transfer tax	$52,544			
Survey		$146,155	$146,155	
Legal fees - Buyer	$58,275			$58,275
Legal fees - Seller			$66,966	
Broker commission	$21,631	$21,631		
Loan origination fee			$32,376	$32,376
Lender legal	$126,457			
Appraisal fee		$150,824	$150,824	
Environmental report	$68,660			$68,660
Property condition report			$88,438	
Tax escrow deposit	$106,452	$106,452		
Insurance escrow deposit			$72,454	$72,454
Replacement reserve deposit	$126,513			
Utility deposits		$149,209	$149,209	
Assumed vendor contracts credit	$13,495			$13,495
Tenant improvement credit			$20,887	
Courier / wire fees	$100,264	$100,264		
Municipal certificates			$118,756	$118,756
Purchase price	$75,414			
Earnest money deposit		$43,010	$43,010	
Real estate tax proration	$6,399			$6,399
Rent proration			$62,818	

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Income and Expense Review

Operating expenses totaled $310,000 or approximately 38.59 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Pre-leasing for the coming academic year stands at 91.0% with rental rates per bed averaging $1,299. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Debt service coverage ratio was 6.60x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Effective gross income for the trailing period was $321,000, representing a 6.2% increase over the prior year. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $480,000 or approximately 12.84 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $448,000, representing a 6.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Effective gross income for the trailing period was $104,000, representing a 12.7% increase over the prior year. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.08% reflects the in-place income and the stabilized occupancy assumption. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Debt service coverage ratio was 5.14x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $259,000, representing a 6.5% increase over the prior year. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Pre-leasing for the coming academic year stands at 89.4% with rental rates per bed averaging $1,299. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Lender legal	$15,400,000			
Appraisal fee		$150,184	$150,184	
Environmental report	$35,466			$35,466
Property condition report			$54,332	
Tax escrow deposit	$68,772	$68,772		
Insurance escrow deposit			$17,422	$17,422
Replacement reserve deposit	$19,385			
Utility deposits		$91,063	$91,063	
Assumed vendor contracts credit	$4,089			$4,089
Tenant improvement credit			$119,439	
Courier / wire fees	$29,025	$29,025		
Municipal certificates			$143,762	$143,762
Purchase price	$34,622			
Earnest money deposit		$65,189	$65,189	
Real estate tax proration	$126,211			$126,211
Rent proration			$12,581	
Security deposits assumed	$148,457	$148,457		
Prepaid rents			$86,246	$86,246
Owner's title policy premium	$52,136			
Lender's title policy premium		$144,348	$144,348	
Escrow fee	$29,813			$29,813
Recording fees			$106,425	
Transfer tax	$34,533	$34,533		
Survey			$27,351	$27,351
Legal fees - Buyer	$85,923			
Legal fees - Seller		$16,776	$16,776	
Broker commission	$133,453			$133,453
Loan origination fee			$51,219	

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Heritage Scholars Hall Owner LLC

By: Rachel Chen Title: Authorized Signatory Date: 03/30/2023

_____

Michael Zimmerman

By: Jerome Vasquez Title: President Date: 03/30/2023

Exhibit A - Property

Heritage Scholars Hall, 9271 Medical Center Drive, Columbus, OH 14447. Parcel containing approximately 22.51 acres, together with all improvements thereon.

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